MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) FIRST SEMESTER EXAMINATION
(2024 ADMISION ONWARDS)
Model Question Paper
MGIMDCCOM101 - Personal Finance and Planning

Duration: 1 hr Maximum Marks: 50

Students should attempt atleast one question from each course outcome to enhance their overalloutcome attainability.

Part A

Multiple Choice Questions

Answer **Any 30** Questions. Each question carries 1 mark.

1. Finance is needed by _____ [Understand][CO1]
   a) Only business b) Only finance c) Both businesses and individuals
   d) Neither businesses nor individuals
2. An example of an online brokers is_____ [Understand][CO2]
   a) Zerodha b) Paytm c) BHIM d) AmazonPay
3. SGB is _____ [Understand][CO2]
   a) Salt Gold Bond b) Sovereign Gold Bond c) Sovereign Guilt Bond
   d) Sovereign Gold Bind
4. _____ is an example of personal financial risk. [Understand][CO3]
   a) Increase in income b) Loss of job c) Medical reimbursement received
   d) Promotion earned
5. Mitigation of risk means _____ [Understand][CO3]
   a) Ignoring the risk b) Reducing the impact of risk c) Avoiding all risks
   d) Increasing the impact of risk
6. Tax treatment given for dividend from equity mutual funds are _____ [Understand][CO2]
   a) Fully exempt b) Fully taxable c) Partially taxable d) Not considered as income
7. Financial goal is a _____ [Understand][CO3]
   a) Long term objective b) Expense c) Both d) Neither
8. Health insurance can be availed by_____ [Understand][CO3]
   a) Senior citizens only b) Children only c) Citizens below 60 years only d) All
9. Open ended mutual funds are highly _____ [Understand][CO1]
   a) Liquid b) Illiquid c) Profitable d) fungible
10. _____ risk is lower in treasury bills. [Understand][CO2]
    a) Credit b) Market c) Default d) Interest rate
11. When you don't invest money wisely, it results in _____ [Understand][CO1]
    a) Losing your money b) Gaining money c) Reaping profit
    d) Your investment multiplies.
12. Risk is _____ [Understand][CO3]
    a) Certainty of income b) Possibility of incurring a loss c) certainty of income
    d) Gaining income
13. SIP stands for _____ [Remember][CO2]
    a) Systematic Investment Plan b) Simple Investment Plan

c) Single Investment Plan d) Simplified Investment Plan

14. Select a digital currency from the following? [Understand][CO2]
    a) Cash b) Gold c) Bond d) cryptocurrency
15. Diversification of investment is done for _____ [Understand][CO1]
    a) For increasing returns b) Reducing income c) By mistake d) Reducing risk
16. Card games is an example for _____ [Understand][CO2]
    a) Investment b) Speculation c) Gambling d) Scientific research
17. Fixed deposit is mainly attractive for _____ [Understand][CO2]
    a) Interest is very low b) Restriction on withdrawals
    c) Liquidity d) Lesser capital appreciation
18. _____ is the main purpose of retirement planning. [Understand][CO4]
    a) Accumulation of long term funds b) Planning for vacation
    c) Invest in real estate d) Funds are planned for purposes after retirement.
19. Secured debentures are also called as _____ [Remember][CO2]
    a) Naked debentures b) Mortgage debentures
    c) Unsecured debentures d) Covered debentures
20. An amount which is first deposited in your account is ___ [Remember][CO2]

a) First amount you put into your account b) Interest earned
c) Last amount deposited d) Amount which can be withdrawn only while closing the account.

21. Which of the following is NOT covered under pension plans in India? [Analyse][CO4]
    a) Annuity Plans b) Atal Pension Yojana c) National Pension System d) Personal Accident Insurance
22. Value of a bond depends on _____ [Understand][CO2]
    a) Coupon rate b) Years to maturity c) Interest earned d) All of the above
23. Which investment goal is long-term? [Remember][CO1]
    a) Buying a car b) Retirement planning c) Vacation planning d) Buying a house
24. _____ is the purpose of car insurance. [Understand][CO3]
    a) To cover personal health expenses
    b) To protect against financial loss in case of a car accident
    c) To insure home appliances
    d) To pay for vacation

25. Day to day operations of a mutual fund is handled by ____ [Understand][CO2]

a) Asset Management Company b) Trustee c) Sponsor d) Shareholders

26. What services does a DP provide to investors? [Understand][CO2]

a) Demat b) Remat c) Account opening d) All of the above

27. The most common obstacle in savings is _____ [Understand][CO1]

a) Lack of financial discipline b) Insufficient income c) High-interest debt

d) All of the above

28. The benefit of regularly reviewing your budget _____ [Understand][CO1]

a) Increased expenses b) Improved financial management

c) Reduced savings d) Increased debt

29. _____ denotes ownership capital. [Understand][CO2]

a) Equity shares b) Preference shares c) Debentures d) Bonds

30. The _____ market assists existing investors in selling their stock. [Remember][CO2]

a) Primary market b) Commodity market c) Secondary market d) Derivatives market

31. _____ is a savings strategy. [Understand][CO1]

a) Reduced financial security b) Improved financial stability

c) Increased financial stress d) Decreased savings rate.

32. What is one major advantage of a savings account over keeping cash at home ? [Remember][CO2]

a) Higher safety and security b) No minimum balance requirement

c) Higher Interest rate d) No need for account verification

[30 x 1 = 30]

Part **B**

Multiple Choice Questions

Answer **Any 10** Questions. Each question carries **2** marks

33. Which of the following statement is true? [Understand][CO4]

a) NPS scheme is structured into Tier I & Tier II account

b) NPS scheme is structured into Savings and Current Account

c) NPS scheme is structured into NRE and NRO account

d) NPS scheme is structured into Fixed and Recurring account

34. Which of the following statements about life insurance is false?

[Analyse][CO3]

a) Life insurance provides financial protection to the policyholder's beneficiaries in the event of death.
b) Term insurance policies offer coverage for a limited period only.
c) Whole life insurance does not accumulate cash value over time.
d) The premium for a life insurance policy can vary based on the age and health of the policyholder.

35. When is an investment considered to be the best investment? [Analyse][CO2]

a) It is the one which strikes a balance between maximum returns, minimum risk and has a good liquidity.
b) One with excellent liquidity only.
c) An investment which offers maximum returns only.
d) An investment which has minimum risk.

36. _____ is a protection for the investors from inflation.
[Understand][CO1]
a) Diversification b) Hedging c) Inflation Indexed instruments d) All of the above

37. Suppose you invested Rs.2000 in a stock that increased by 10%. How much would your investment be worth? [Apply][CO2]
a) 2100 b) 1900 c) 2500 d) 3100

38. Match the following types of risks with their definitions:
[Analyse][CO3]
i) Credit risk - 1) Risk of loss from failing processes or systems
ii) Operational risk - 2) Risk of loss due to the inability to meet financial obligations
iii) Market risk - 3) Risk of loss due to changes in market prices

a) i-2, ii-1, iii-3 b) i-3, ii-2, iii-1 c) i-1, ii-3, iii-2 d)i-2, ii-3, iii-1

39. _____are issued at a discount to face value.
[Understand][CO2]
a) Government securities b) Zero coupon bonds c) Shares d) Debentures

40. Assertion (A) : Digital gold allows investors to buy and sell gold online.
Reasoning (R) Digital gold requires physical storage
[Understand][CO2]
a) Both A and R are true b) Both A and R are false c) A is true and R is false d) A is false and R is true.

41. Assertion(A):Government Securities are called as gilt edged securities.
Reasoning (R) They are backed by government gurantee
[Analyse][CO2]

a) Both A and R are true b) Both A and R are false c) A is true and R is false d) A is false and R is true.

42. i. An investor can start a SIP with a minimum amount of Rs 500/- per month.
ii. SIP operates on the principle of simple interest.
[Analyse][CO2]
a) Both i and ii are true b) Both i and ii are false
c) i is true and ii is false d) i is false and ii is true

43. If Mr Y earns Rs 15,00,000 per year and the inflation rate is 10%, to maintain his purchasing power, to what amount his salary should increase?
[Apply][CO1]
a) Rs 16,50,000 b) Rs 15,50,000 c) Rs 14,50,000 d) Rs 17,25,000

44. Which one of the following are not the right of equity shareholders?
[Understand][CO2]
a) Right to have first claim in case of winding up of the company
b) Right to vote at the general body meeting of the company
c) Right to share profits in the form of dividends
d) Right to receive a copy of the statutory report

[10 x 2 = 20]